



Cambridge International AS & A Level

ECONOMICS

Paper 1 Multiple Choice

9708/12**October/November 2020****1 hour**

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are **four** possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided **unless** this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
- Any rough working should be done on this question paper.

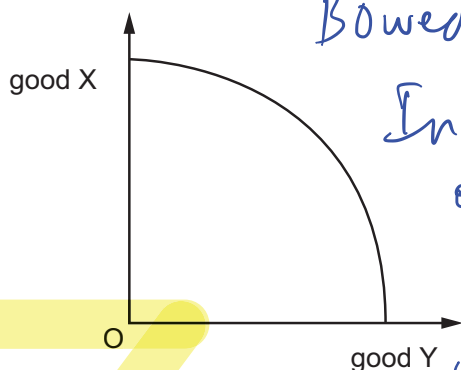
Solved by:-

Zarale Mushtaq

This document has **12** pages. Blank pages are indicated.

2

- 1 The diagram shows a production possibility curve.



What can be deduced from the shape of this curve?

- ☐ A decreasing marginal returns to consumption
☐ B decreasing opportunity costs of consumption
☒ C increasing opportunity costs of production
☐ D increasing returns to scale *IEOS*
- 2 Which statement is correct? *Rival Excludable*
☐ A Private goods are both non-rival and non-excludable.
☐ B Private goods are only provided by the private sector. *and public sector*
☒ C Public goods are both non-rival and non-excludable. *Yes, free rider problem*
☐ D Public goods do not incur opportunity costs. *It does*
- 3 Below are two statements. *Government's other objective*
 1 A rise in the price of rice is the best way to give farmers in South-East Asia higher living standards. *Normative*
 2 A rise in the price of rice will lead to a fall in demand. *Fact (Positive)*

Which row correctly describes these two statements?

	1	2
A	normative ✓	normative
B	normative ✓	positive ✓
C	positive	normative
D	positive	positive ✓

3

4 What is a characteristic of money but not a function of money?

- A medium of exchange
- ✓ B portability
- C standard of deferred payment
- D store of value

Function of money

5 In the UK, attempts to encourage people to change from road to rail travel by the introduction of a system of road pricing were forecast to have little effect because 'people like using their cars too much'.

Inelastic

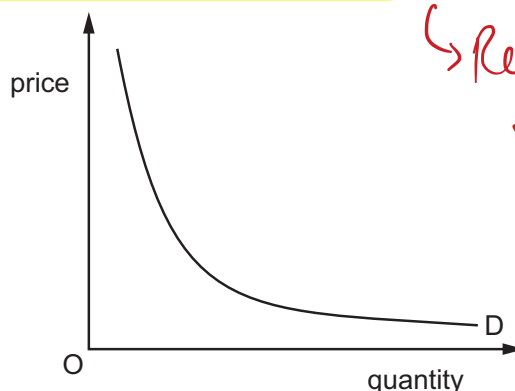
How would this forecast be explained?

- A The price elasticity of demand for cars is high.
- B The price elasticity of demand for petrol is high.
- C The price elasticity of demand for rail travel is low.
- ✓ D The price elasticity of demand for car travel is low.

Inelastic

6 The diagram shows the demand curve for a product with unitary price elasticity.

% Δ in price is equal to % Δ in quantity demanded



Rectangular hyperbola

TR/TE: unchanged

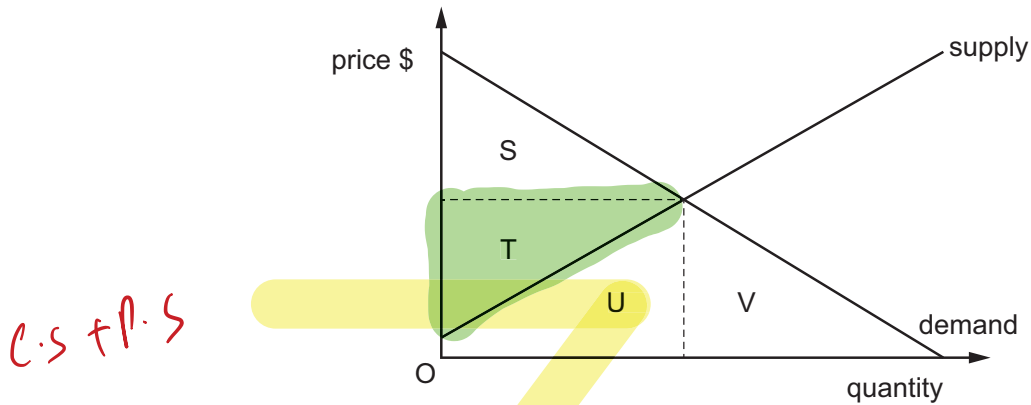
What will happen with such a curve?

- A A fall in price will bring about an increase in total expenditure on the product. $P \downarrow TE \uparrow$, Elastic
- B A fall in price will bring about an increase in sales but a fall in total expenditure on the product. $P \downarrow TE \downarrow$
- ✓ C As the price rises, total expenditure on the product will stay the same. Unitary
- D As the price rises, total expenditure on the product will rise and then fall. Inelastic to Elastic

Inelastic

Inelastic to Elastic

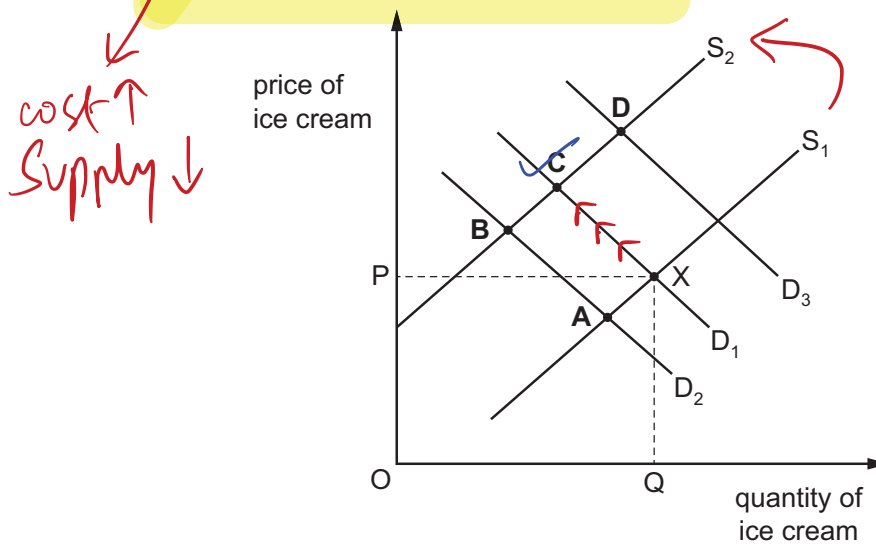
- 7 The diagram shows the market supply and demand for a good.



- Which area represents producer surplus? *Below price and above supply curve*
- A** $S + T$ **B** T **C** U **D** $U + V$

- 8 Vanilla is an important ingredient in the production of ice cream. Between 2011 and 2018 the price of vanilla increased from about US\$100 per kg to nearly US\$600 per kg. The diagram shows the market demand for and supply of ice cream. The original equilibrium is X.

Which point illustrates the effect of this price rise on the market for ice cream?



Demand ↑

5

Supply ↓

- 9 A government reduces income tax but at the same time raises the rate of sales tax (VAT).

What are the likely effects on the demand and supply of a normal good?

	demand	supply
A	decreases	decreases ✓
B	decreases	increases
C	increases ✓	decreases ✓
D	increases ✓	increases

- 10 An increase in the popularity of air conditioning units has resulted in their price increasing by 20%. In response to this the quantity supplied increased by 30%.

What can be concluded from this?

A price elasticity of supply = 0

B price elasticity of supply < 1

C price elasticity of supply = 1

D price elasticity of supply > 1

perfectly inelastic

Inelastic

Unitary

Elastic

Qs greater than price

> 1, Elastic supply

$$\frac{30}{20} = +1.5$$

shift

- 11 Which change does not have an immediate effect on the position of the demand curve for a product?

A a fall in the price of a complementary product

B a range of new products entering the market

C a rise in the labour costs of its production

D an increase in the price of a substitute product

Demand ↑

Demand ↑

P ↑ QD ↓

Demand ↑

position changed

movement along the curve, position didn't change

- 12 When demand for a good falls, its price falls.

What is the function of the price fall?

A to eliminate shortages

B to reduce consumer surplus

C to send a signal to producers

D to stimulate a further fall in demand

P ↑, to eliminate shortage

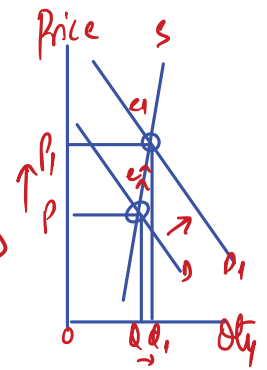
P ↑, C.S ↓

price mechanism

P ↓ QD ↑

6

Inelastic



- 13 A firm estimates that the price elasticity of supply of its product is 0.4.

Should the firm be concerned by this figure?

- A No, as it implies that the firm will be able to raise revenue by raising price. PED
 B No, as it suggests there are few substitutes for the product. PED
 C Yes, as it means that demand for its product is increasing at a slow rate. PED
 D Yes, as it shows that the firm is not able to adjust supply easily when demand changes.

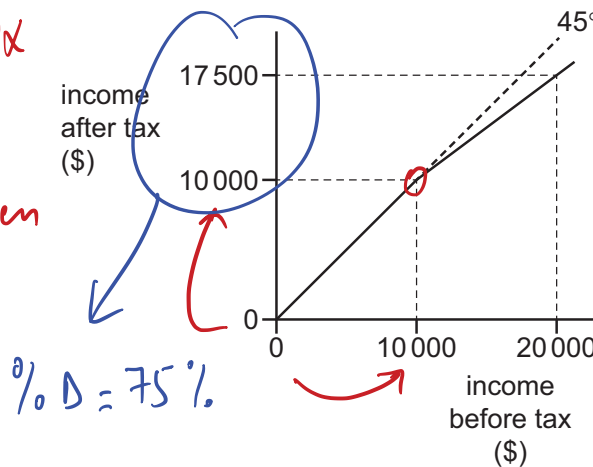
- 14 A government decides to privatise a state-owned company.

What should the government do to try to ensure that this will result in an improvement in efficiency?

- A allocate vouchers to all citizens entitling them to a share in the ownership of the company
 B encourage competition, firms will not charge ↑ price and act to reduce cost
 C impose a maximum profit margin won't remain efficient
 D increase business tax rates Government action
 ↳ also can lead to tax evasion

- 15 The graph shows an individual's income before and after the deduction of income tax.

Income after tax raised by 75%
 25% was taken in form of tax

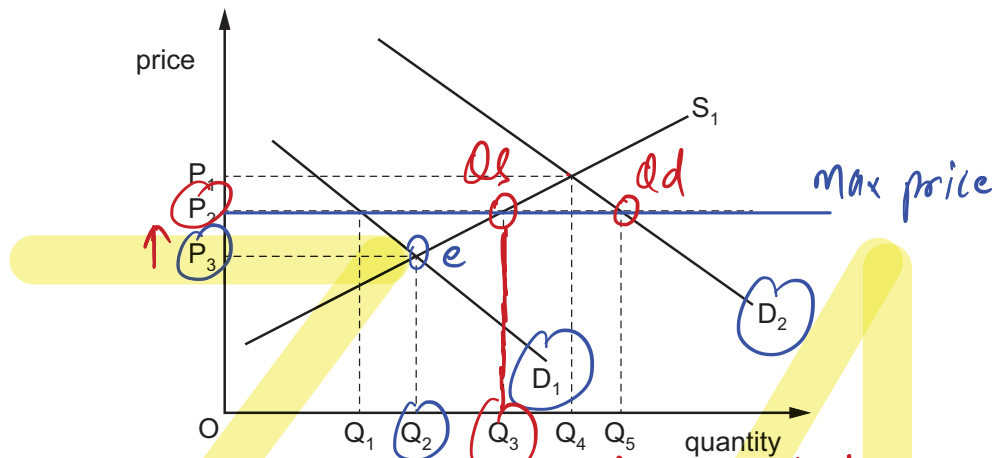


Income before and after tax is 10000, so 0%

What is the marginal percentage rate of tax between \$0 and \$10 000, and between \$10 000 and \$20 000?

	\$0–\$10 000	\$10 000–\$20 000
A	0%	12.5%
B	0%	25.0%
C	1%	12.5%
D	1%	25.0%

- 16 In year 1, in the market for a good represented in the diagram, the initial demand and supply conditions are shown by D_1 and S_1 , and the government has set a maximum price of OP_2 .



In year 2, demand increases to D_2 , but there are no other changes to the conditions of supply or to the maximum price.

Which row accurately shows the price and quantity in the market in each year?

	year 1		year 2	
	price	quantity	price	quantity
A	OP_2	OQ_1	OP_1	OQ_4
B	OP_2	OQ_3	OP_2 ✓	OQ_5
C	OP_3 ✓	OQ_2 ✓	OP_1	OQ_4
D	OP_3 ✓	OQ_2 ✓	OP_2 ✓	OQ_3 ✓

- 17 What is necessary for an action to be classed as a transfer payment?

- A It must include a cash payment. No
- B It must involve a banking transaction. No
- C It must originate from government activity. No
- D It must relate to a non-productive activity. ✓

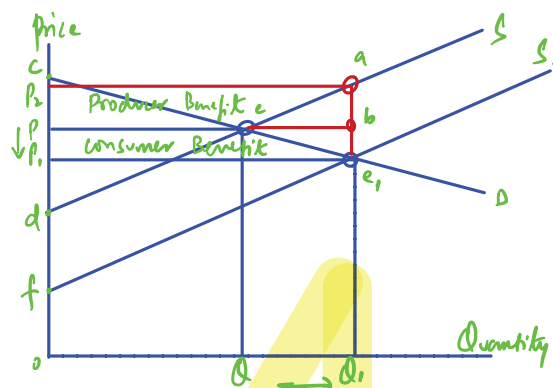
A transfer payment is a payment of money for which there are no goods or services exchanged. Transfer payments commonly refer to efforts by local, state, and federal governments to redistribute money to those in need. In the U.S., Social Security and unemployment insurance are common types of transfer payments.

8

- 18 The market for good X is in equilibrium. The government introduces a subsidy to the producers of good X.

Under which conditions will the total expenditure by the government on the subsidy be the greatest?

	price elasticity of demand for good X	price elasticity of supply for good X
A	<1	<1
B	<1	>1
C	>1	<1
D	>1	>1



- 19 Under which combination of circumstances will a policy of increasing the money supply be most effective at moving an economy out of recession?

	circumstance one	circumstance two
A	depreciating exchange rate	global financial crisis
B	high nominal interest rates	appreciating exchange rate
C	low aggregate demand	inflation rate above the target level
D	low nominal interest rates	no spare capacity available

- 20 In which economic context is the term 'protectionism' usually applied?

- A the protection of consumers against excessive prices
- B the protection of employees against exploitation by multinational companies
- C the protection of local producers against foreign competitors
- D the protection of the foreign exchange rate against currency speculators

- 21 What is most likely to cause a rise in a country's exchange rate?

- A a fall in its direct taxes → $C \uparrow, m \uparrow, S \uparrow, \text{dep}$
- B a fall in its export orders → $X \downarrow, D \downarrow, \text{dep}$
- C a rise in its interest rates
- D a rise in its imports → $S \uparrow, \text{dep}$

→ $R \uparrow, FDI \uparrow, D \uparrow$ → Appreciation
 call bank investment $S \downarrow$

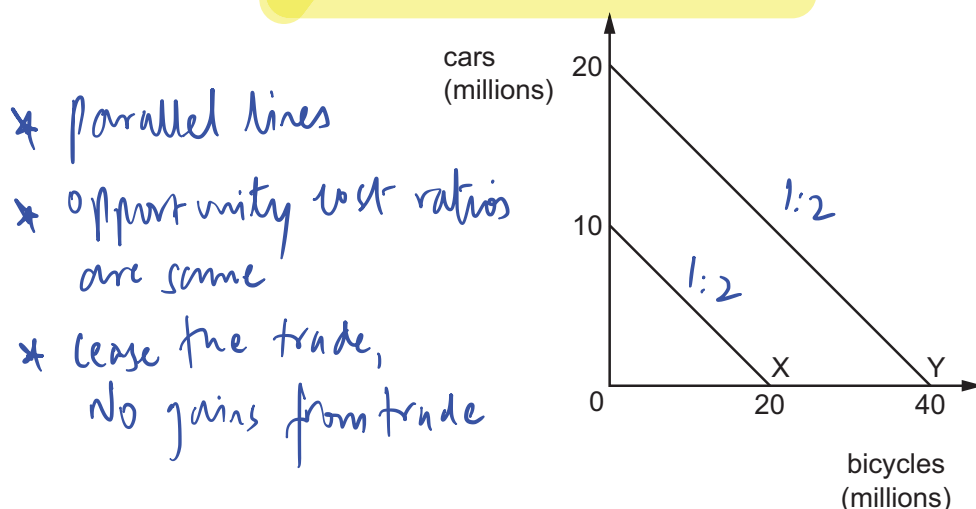
- 22 The table shows an approximate summary of the current account of the balance of payments for Thailand.

Bank of Thailand current account (millions of US dollars)		
		April 2018
1	exports	18 990
2	imports	(18 715)
3	trade balance	275
4	net services, primary income and secondary income	+ 1130

What is the current account balance, in millions of US dollars?

- A -855 ☒ B 1405 C 1680 D 39 110

- 23 The diagram shows the production possibility curves for two economies using all resources. Country X can produce 10 million cars or 20 million bicycles and country Y can produce 20 million cars or 40 million bicycles.



Which statement is correct about country X and country Y according to the theory of comparative advantage?

- ☒ A Country X and country Y would not gain from free trade.
☐ B Country X has a lower opportunity cost ratio in producing cars and bicycles than country Y.
☐ C Country X has an absolute advantage over country Y in the production of both goods.
☐ D Country Y will have a faster rate of economic growth than country X.

10 $X+M, PED > 1$

24 A country has a balance of payments deficit. It devalues its currency.

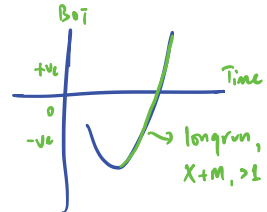
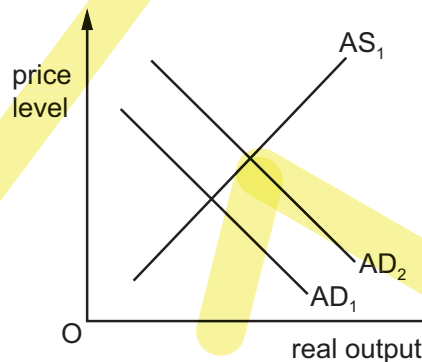
J. curve

Which combination leads to a reduction in its balance of payments deficit in the long run?

	price elasticity of demand for exports	price elasticity of demand for imports
A	less than 0.5	less than 0.5
B	less than 1	zero (0)
C	<u>more than 0.5</u>	<u>more than 0.5</u>
D	zero (0)	less than 1

 $\Rightarrow \text{sum} > 1$

Marshall Lerner

25 The diagram shows aggregate demand curves AD_1 and AD_2 and an aggregate supply curve AS_1 . $AD \uparrow$ What could cause the shift in the aggregate demand curve from AD_1 to AD_2 ?

A a rise in the interest rates

 $C \downarrow I \downarrow AD \downarrow$

B a rise in output per worker

 $AS \uparrow$ - incorrect M-S

C a rise in the budget deficit

 $G \uparrow \rightarrow$ correct answer

D a rise in the value of the exchange rate

Appreciation, trade, deficit $AD \downarrow$

26 The government of an open economy with an overvalued currency decides to abandon its fixed exchange rate in favour of a floating exchange rate.

Appreciation

Which macroeconomic policy aim is least likely to be met because of this change?

A a low inflation rate

B a low level of unemployment

C a reduced balance of payments deficit

D a sustainable rate of economic growth

leads to depreciation since now it's floating

Depreciation will reduce unemployment as $AD \uparrow$
 $\rightarrow X \text{ prices } \downarrow$, so deficit $\downarrow$

which will cause demand pull and cost push inflation

 $GDP \uparrow$
 $\downarrow$
so, economic growth

27 Devaluation always has the effect of

- A decreasing the price of imports.
- B decreasing the value of imports.
- C worsening the balance of payments.
- ✓ D worsening the terms of trade.

$$\frac{\text{X prices} \downarrow}{\text{M prices} \uparrow} \times 100$$

Expansionary required

28 A government uses monetary policy and fiscal policy to solve a problem of deflation.

Which policy combination is likely to be the **most** successful?

	monetary policy	fiscal policy
A	increasing interest rates $AD \downarrow$	contractionary $AD \downarrow$
B	increasing interest rates $AD \downarrow$	expansionary $AD \uparrow$
C	reducing interest rates $AD \uparrow$	contractionary $AD \downarrow$
✓ D	reducing interest rates $AD \uparrow$	expansionary $AD \uparrow$

$AS \downarrow$ (contractionary)

29 A government reduces its expenditure on workplace training, increases the level of indirect taxes, and reduces the rate of interest it pays on government debt.

How would these government macroeconomic policies be categorised?

	supply-side	fiscal	monetary
✓ A	con ✓	con ✓	exp ✓
B	exp	con ✓	con
C	con ✓	exp	exp
D	exp	exp	con

key

con = contractionary

exp = expansionary

$P \uparrow$
contractionary
as $C \downarrow$

30 What represents the total of aggregate demand in a closed economy?

- ✓ A $C + I + G$
- B $C + I + G + X$
- C $C + I + G + (X - M)$
- D $C - (S + T)$

no international Trade

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